

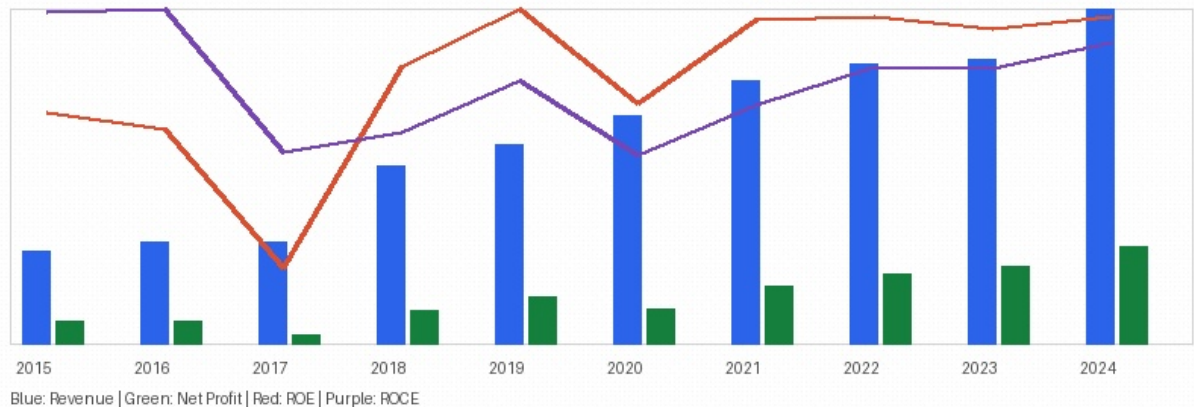
Power Finance Corporation Ltd (PFC)

ROE 26.16%	ROCE 3.49%	NPM 28.92%
D/E 8.52	Revenue CAGR 11.08%	FCF -101,229.00

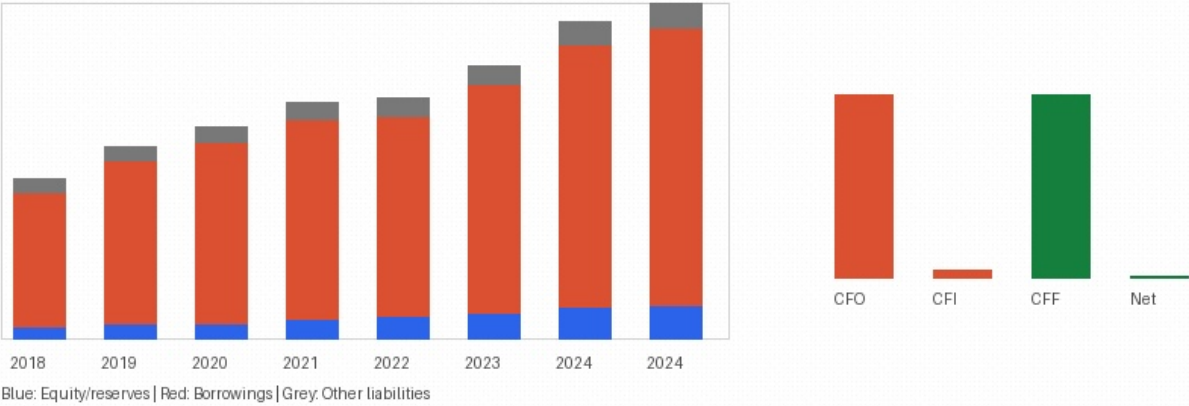
Sector: Financials | **Sub-sector:** Speciality Finance

Power Finance Corporation Ltd. is an Indian public sector company engaged in infrastructure finance activities.

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Consistently high return on equity above 20% demonstrates exceptional capital efficiency	Free cash flow negative for 3 consecutive years raises concern about cash generation quality
Operating profit margin above 25% indicates strong pricing power and cost discipline	Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
Revenue growing slower than profits shows improving operating leverage and scale benefits	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt